CATERPILLAR®

DEALER BEST PRACTICE SERIES

Escalating MARCs Based on Forecasted Parts Consumption

Application | Maintenance | Site Management | Component Rebuild | Component Life Management | Safety | **MARC Management**

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1.0 Introduction

Using methods for establishing accurate and sufficient parts escalation factors is critical in preventing MARC contract overrun.

Currently, there is no tool within the CSA Toolkit that will escalate parts based on forecasted parts consumption and automatically generate a relevant ‘master parts list’ price history record. A tool in the form of an Excel macro and a corresponding BUILDER database was developed by the CGM MARC group that will accomplish this.

Two widely used escalation methods that are being used today include the ‘Basket of Parts’ and the ‘Corporate Average’ approaches.

The ‘Corporate Average’ approach simply uses the net movement in published Caterpillar parts prices as the factor for escalating parts in the MARC contract. The potential for error using this method is that the published corporate price change contains several hundred thousand part numbers across all applications. As the MARCs are mining-specific and often contain high $ major components, the weighted average may not closely reflect rises in mining product, product family, REMAN product, etc. To illustrate the potential for error, consider this: When using the ‘Corporate Average’ method, pricing changes to skid-steer loader tracks and C2.2 connecting rods are factored when escalating a 797 MARC contract.

The ‘Basket of Parts’ approach uses a list of representative serviceable parts for a particular machine. This list is agreed upon between the customer and the dealer. The amount of increase or decrease to the total parts cost of this basket is how the escalation factor is determined. The potential for error using this method is that each part in the basket has a quantity of ‘1’. This does not take into account the total numbers of each part that will be used or the replacement % anticipated. Also, this method does not take into account which of these parts will actually be consumed in the coming term to be analyzed for escalation. To illustrate the potential for error, consider this: The price change of a new engine (most likely included in the basket) will affect the escalation rate, even though your dealer may never purchase a new engine (because Rebuild or Reman is actually used). Additionally, an engine overhaul or change-out may not even be scheduled in the coming term to be analyzed for escalation, but the price movement of the engine will be factored nonetheless.

The escalation method presented in this Best Practice calculates a weighted escalation factor based on forecasted parts consumption. All dealer personnel who participated in the refinement of this Best Practice during the 2007 MARC Conference agree that this method of escalation is the most logical.

2.0 Best Practice Description

The key elements in using a ‘Forecasted Parts Consumption’ approach to MARC escalation are that:

- each part is properly weighted at the actual quantities per repair or maintenance event,
- each part is properly weighted with the anticipated and/or experienced replacement percentage, and

- each repair event is accounted for at the anticipated number of occurrences within the escalation term to be analyzed.

The process utilizes macros within an Excel spreadsheet and a specialized BUILDER database that contains the necessary queries. The process also requires the representative Dealer BUILDER file for the machine to be analyzed be up-to-date and accurately maintained.

Instructions are available in the attached file, *Parts Price Escalation Variance Analysis.ppt*

3.0 Implementation Steps

- Contract language to support the Escalation process must be in place.
- To obtain a subscription of BUILDER 1.8.1 software, contact:

  Caterpillar Media Logistics Subscriptions
  1-800-566-7782 (U.S. and Canada) or (309) 266-0942
  Fax: (309) 266-4647
  Media_logistics@cat.com

Software	Media Number	Price
Repair Option BUILDER License	JERC4920	$3,250
BUILDER Yearly Subscription	JERC4921	$1,450
BUILDER Additional Copy	JERC4923	$40 license/$100 Yearly sub.

or

CSA PC Bundle Yearly Subscription (includes BUILDER, Calculator, CSA QUOTER, CSA Scheduler, Site Operations & Maintenance Advisor, Maintenance Control System Suite) Bundle has no license fee.	JERC5000	$3,550

- To determine the latest version of CSA software, reference: https://dealersoftware.cat.com/sofTrack/searchInput.do
- For access to the CGM BUILDER Downloads webpage in order to view and download posted CGM BUILDER files, contact Bill Gallagher at Gallagher_William_L@Cat.com
- To keep up-to-date of any additional utilities or changes to the CSA tools join the CSA Toolkit User Group: https://kn.cat.com/cat.cfm?id=7308

4.0 Benefits

- Provides real-life escalation factors based on the Forecasted Parts Consumption for the periods.
- Provides an escalation history and summary page that tracks escalation through time and allows labor and miscellaneous escalation to be entered into a total escalation formula.
- Automatically generates a relevant 'master parts list' price history record that tracks parts prices through time
- Escalation factors can be logically explained and illustrated to the customer.

5.0 Resources Required

- BUILDER Software
- Microsoft Excel

6.0 Supporting Attachments / References

BUILDER Database: *MARC Escalation Analysis.mdb*
Excel Spreadsheet required: *MARC Escalation Analysis Worksheet.xls*

7.0 Related Best Practices

0807-3.3-1085 Updating BUILDER™ Files with Current Parts

8.0 Acknowledgements

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